



Yusen Logistics (Americas) Inc.
300 Lighting Way, 6th Floor
Secaucus, NJ 07094

**BEFORE THE
FEDERAL MARITIME COMMISSION**

**AMENDMENTS TO REGULATIONS GOVERNING NVOCC NEGOTIATED RATE ARRANGEMENTS
AND NVOCC SERVICE ARRANGEMENTS**

COMMENTS OF TRACY D'SILVA

My name is Tracy D'Silva and I work at Yusen Logistics (Americas) Inc as the Sr Director.

Yusen Logistics is a global NVOCC with their regional headquarters for USA located at 300 Lighting Way, Secaucus , NJ 07094. Our FMC OTI License no is 002432.

Our company is now largely using NRA filings (95% of the time) for our customers and to ensure that we are compliant with the FMC guidelines. We do use NSA on certain scopes and services where we need to input terms and conditions that are not part of the NRA. This has saved time with both our employees and our customers, whilst also being able to streamline our process, saving both time and money. We cannot thank the FMC enough for this consideration and are very grateful for the exemption.

The world of International Freight however, is continuously evolving and presently we are in an age where faster, reliable and efficient supply chain is no longer a thing to strive for, but a reality and the norm.

While the NRAs work in large, and have definitely reduced certain aspects of the workload, there is still an abnormal amount of time, resources spent on ascertaining that certain stipulations are met:

Stipulations such as:

- *Carriers change the rates almost on a weekly basis, making the updates of NRAs almost constant. The reason is that current guidelines mandate that NRAs cannot be amended for their duration. This does not serve the interest of any parties.*
- *FMC requires that the customer must indicate its acceptance of the NRA rate quote by either signing the document or otherwise having a written agreement. Although we do request our customers to provide their approval by either signing our rate quote or sending back a confirmation by email, it is done so with the greatest reluctance or not in a timely fashion.. With frequent market changes necessitating that we update the NRA frequently, it leads to extra workload as well as aggravation from our customers. Customers in general, state that their tendering of cargo against the NRA should constitute an agreement between both parties and to be honored as such, without need of an additional step for confirmation – they and us, find the written acceptance redundant. Our customers are more than willing to operate in this fashion, and our conclusion is that, the lack of a written confirmation makes us not in compliance with a Commission regulation is not reasonable. We ask the Commission to eliminate what experience now shows, to be an irrelevant and repetitive requirement.*
- *For reasons that are not completely clear, our NRA quotes cannot include other economic terms such as surcharges, credit terms, minimum volume commitments,*

demurrage/free time, service standards, GRI, PSS etc. Yet, it is often the case that our customers want us to address those types of issues and include them in our rate arrangements. Under the present situation, the only way we could properly do so is by having a formal NVOCC service arrangement (NSA), which our customers typically do not want to enter into, for various reasons. We believe that as long as both the NVO and its customer have negotiated these terms and have them in writing, the NRA should be allowed to memorialize the entire arrangement.

- Finally, we agree with the Commission's proposal to eliminate the necessity for NVOCCs to file NSAs. One reason why NSAs are not used more often is because it is burdensome and costly to file them and their amendments. Yet, we are not aware of any purpose that is served by requiring them to be filed, since it seems pretty clear – as is the case with tariffs – no one ever reviews them. And, recent action by the Commission to permit amendments of NSAs to be filed after also raise the question of why they have to be filed at all. As is the case with tariffs in general, there is no discernable benefit in having them filed and the requirement just adds unnecessary costs and administrative burden.*

While we propose these changes, we ask that the FMC be a voice of reason and the proposed changes be taken into consideration

Sincerely

Tracy D'Silva
24 January 2018